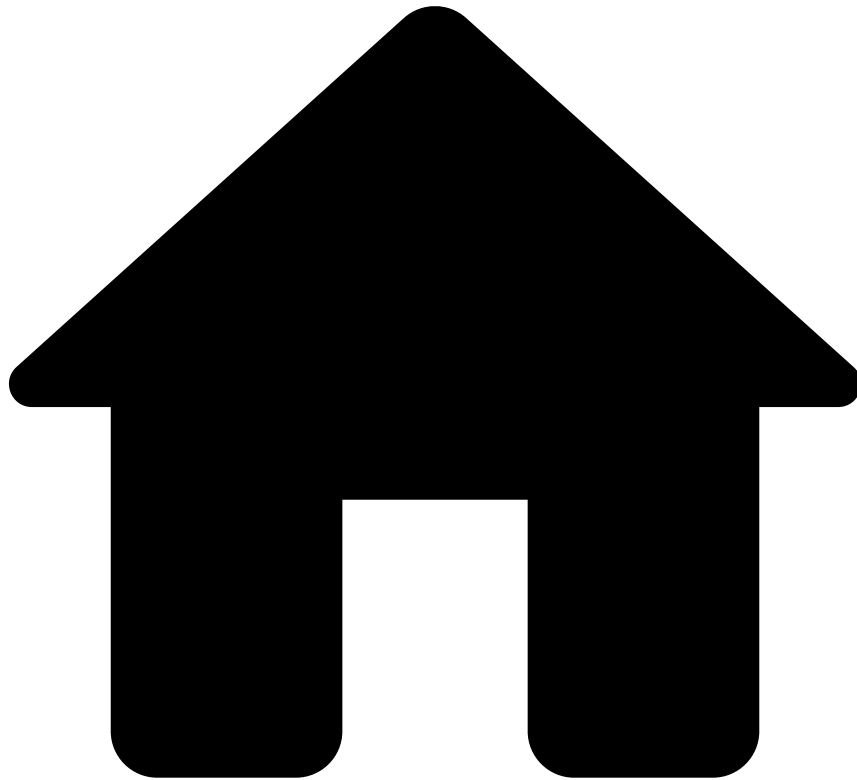


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- [Operational Work](#)
- [Fraud Prevention Agent](#)
- [Case Manager Guide](#)
- [Daily Monitoring \(standard\)](#)
- Event Flow

On this page

Event Flow

As a fraud prevention agent, understanding the merchant monitoring event flow is a key step to managing the alert investigation efficiently. This page describes the main life cycles and explains the logic behind:

- Merchant monitoring event header (i.e. sticky bar)
- Merchant monitoring event life cycle
- Payment event life cycle

Key concepts

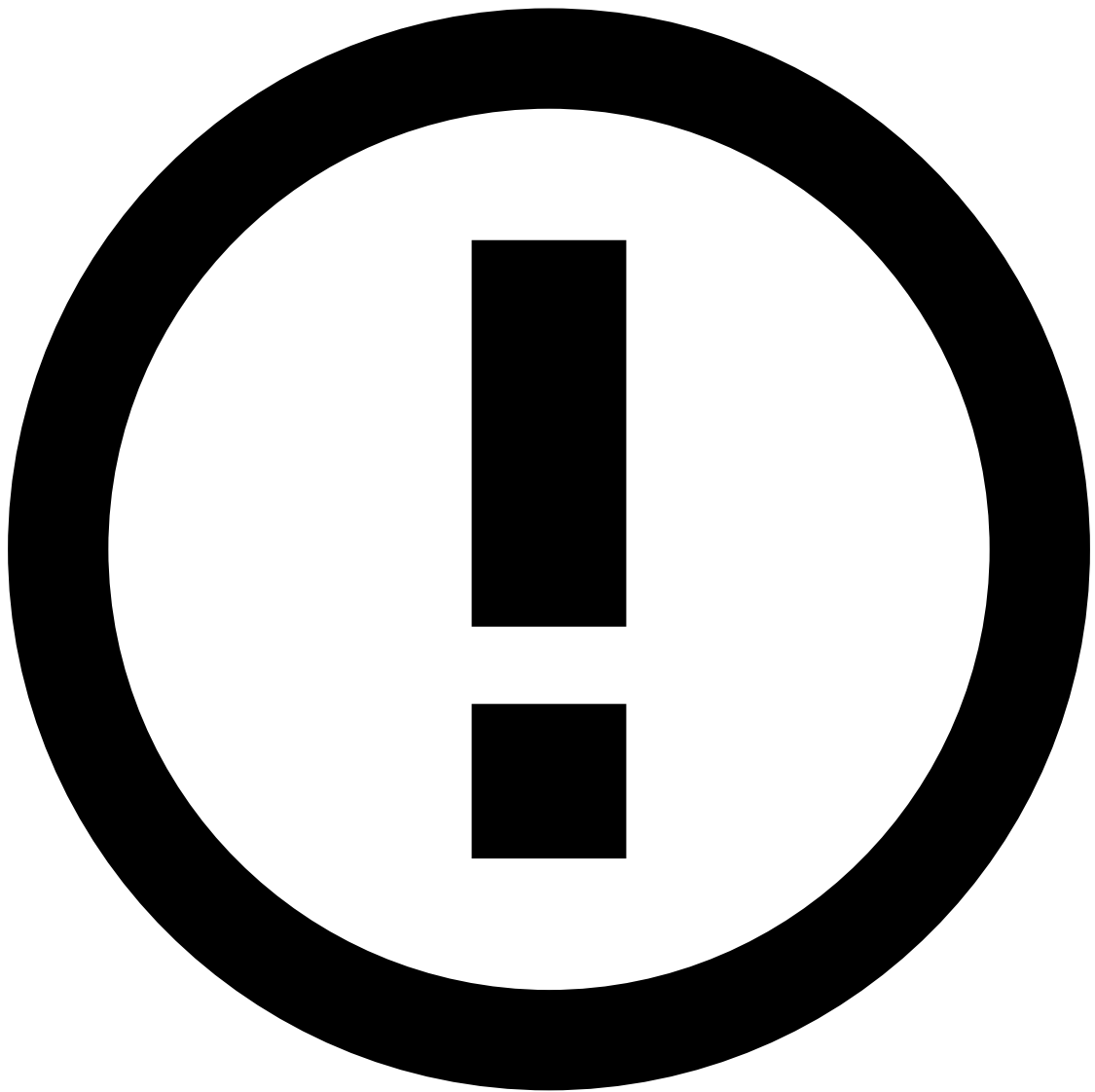
This section clarifies key concepts that will be mentioned throughout this page to ensure your understanding.

Concept	Description
Merchant monitoring assessment	Occurs when the merchant monitoring workflow runs for a particular merchant, updating their profiles (metrics) - e.g. total payments processed over the past 30 days -, and running rules as well as potential machine learning models that look at those profiles to evaluate the risk of that merchant. These assessments occur daily, meaning fraud prevention agents review the previous day's data.
Merchant monitoring event	The event that is generated at the beginning of each day and where the outcome of the merchant monitoring's daily assessment is written.
Related transactions	Transactions that contributed to a merchant monitoring rule, e.g. merchant Acme is alerted if the number of transactions with an amount greater than \$500 over the past 24 hours is above a threshold of 10. The related transactions for this rule are the transactions greater than \$500 over the past 24 hours processed by merchant Acme.
Risk strategy	Set of rules and machine learning models (when available), which comprise a workflow, as well as agents' actions (e.g. assigning events), state machines (e.g. moving an event to "On Hold"), queues, automation rules and service-level agreements (SLAs). Each channel - payments and merchant monitoring - has their own risk strategy.

Merchant monitoring event header

Case Manager displays the merchant monitoring event's header in the **Merchant Monitoring Event Details** page as follows:

- **Alerted:** Indicates whether the event comprises an alert (e.g. triggered one or more alerting rules).
- **Created at:** The date and time the merchant monitoring event was created with the daily assessment.
- **Status:** Indicates the alerted merchant's investigation stage. Possible values are:
 - **Open:** Has not undergone investigation.
 - **In progress:** Under review by an agent.
 - **On hold:** Temporarily paused while waiting for extra information.
 - **Closed:** Final status after making a decision.
- **Analyst Decision:** The decision to either take action or drop the event. The possible values are:
 - **Action taken**
 - **Dropped**
- **Reasons:** Indicates the reasons why the agent considered the alert irrelevant (**Dropped**) or needed further investigation (**Action taken**).



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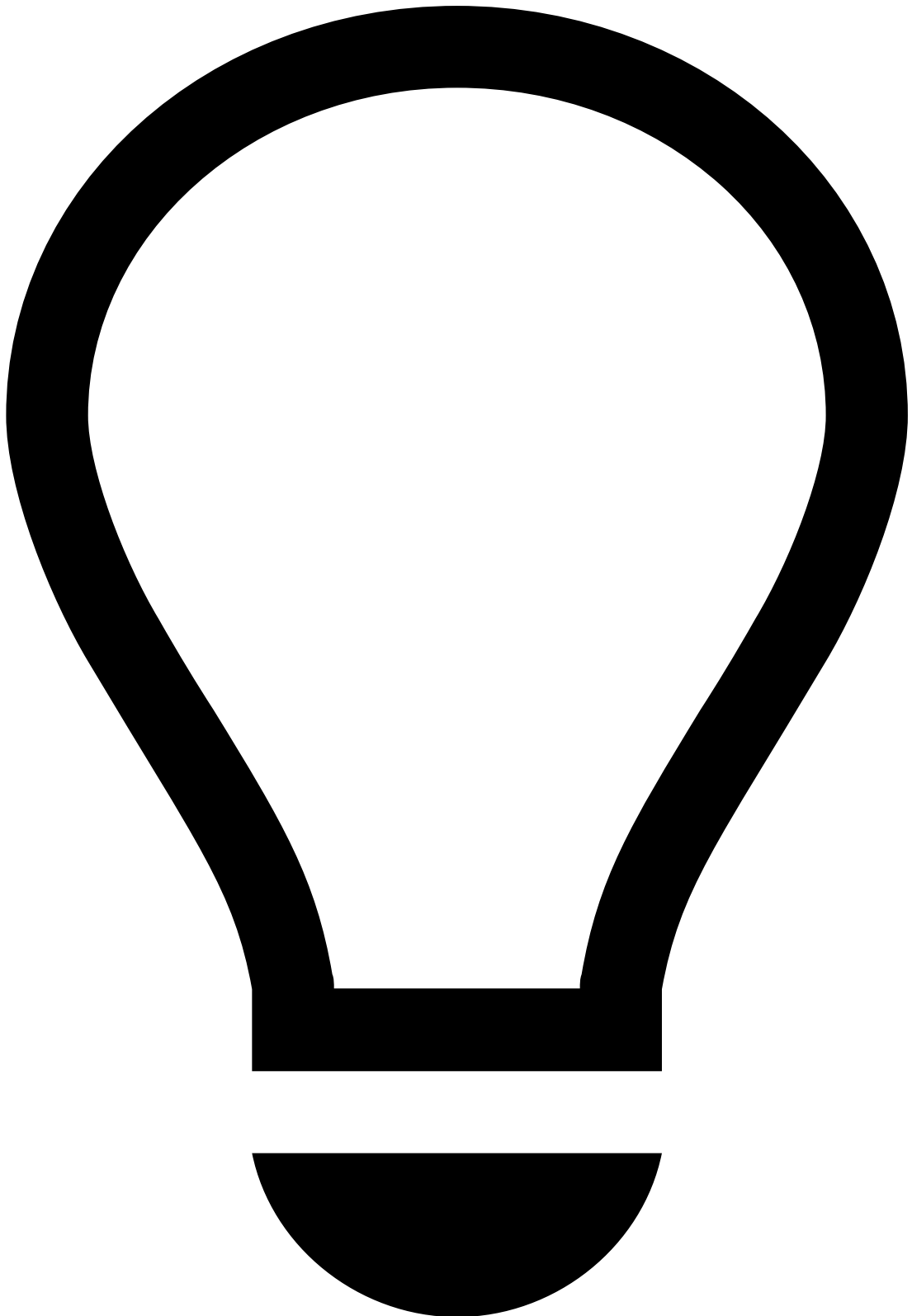
Note that [reasons](#) are self-serviceable and can be configured by a fraud prevention manager.

- **Queue:** Indicates in which queue the merchant monitoring event is, based on the investigation priority. [Queues](#) can be configured by a fraud prevention manager.
- **Assignee:** The current agent assigned to the alerted merchant monitoring event.

Merchant monitoring event life cycle

At the beginning of each day, PSPs and acquirers can review each of their merchants' activity over the past 24 hours to facilitate the decision whether to pay out the funds or not.

Take a close look at the merchant monitoring event life cycle.



merchant monitoring event life cycle - step by step

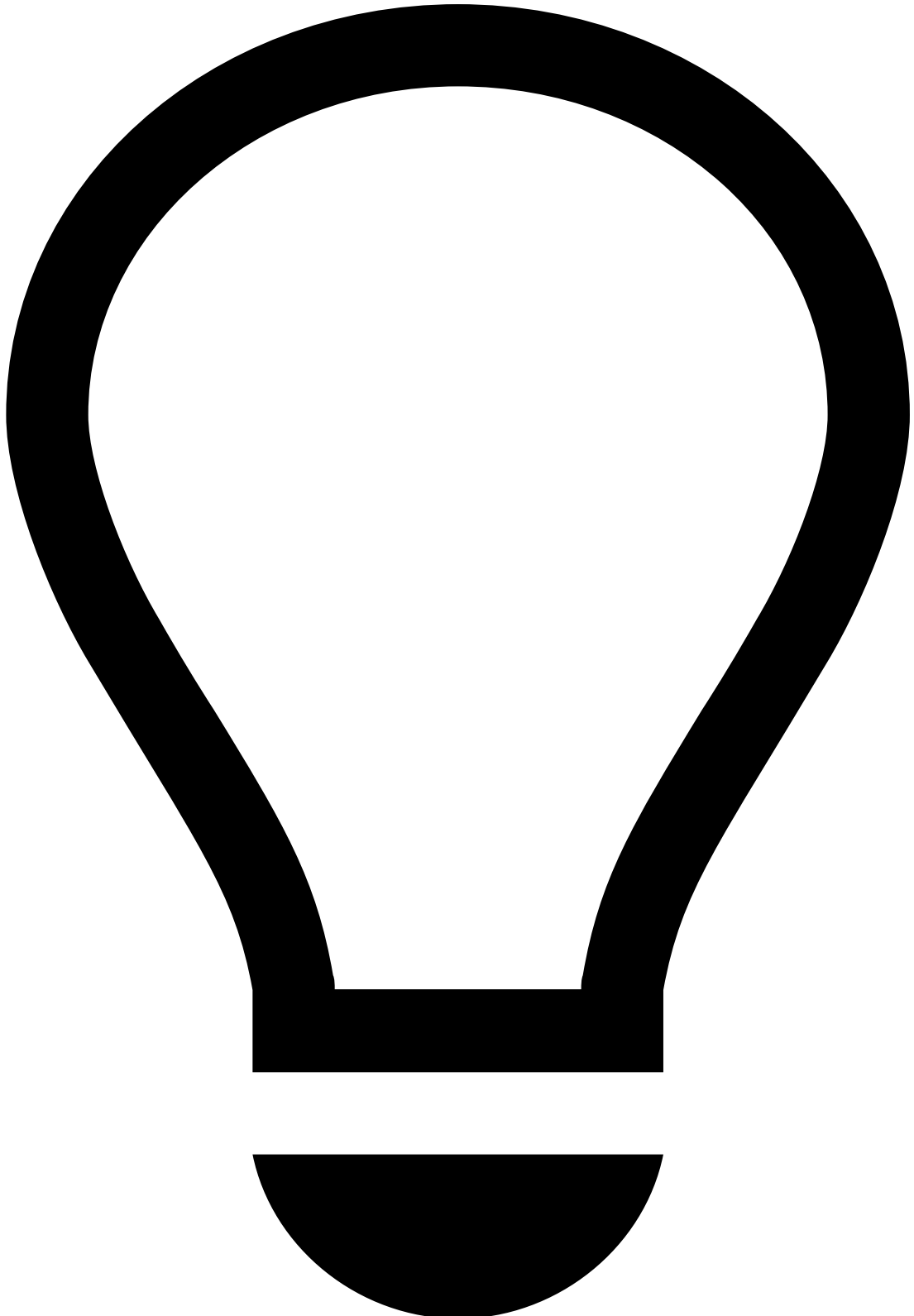
Take merchant Acme Inc as an example:

1. At the start of each working day (e.g. 0:00, 8:00), a daily merchant monitoring event is created for merchant Acme.
 2. If the daily assessment does not trigger any rule, Acme's merchant monitoring event remains unalerted for the rest of the day.
 3. On the other hand, if the daily assessment triggers a rule, Acme's merchant monitoring event becomes alerted.
- Consider the following status flow after the event has been assigned:

Payment event life cycle

The Payments channel looks at payments performed by merchants' customers. [Rules](#) evaluate the legitimacy of these transactions to ensure merchants are not subject to fraudulent payments.

The Payments channel includes **decision-based rules**, which determine whether a payment event is fraudulent or not by either approving or declining, and triggering an alert or not. Note that a daily merchant monitoring event assessment is not impacted by payment rules triggered over the course of the day.



payment event life cycle - step by step

As the diagram shows, this is the typical payment life cycle. Take the following steps to understand how Acme's merchant monitoring event may be impacted by payment events.

1. A payment event, alerted or not, is generated.
2. If the payment event doesn't trigger any rule, it will remain approved and unalerted in the system.
3. If the payment event triggers a decision rule, an alert is generated.

Next steps

Now that you understand the standard merchant monitoring event flow on a daily basis, let's explore an agent's typical [investigation flow](#).